

IFRS 18 — Presentation and Disclosure in Financial Statements

Research for Document 6, the Teams message from the CFO and the extract from the JHB4 Investment Committee pack. Scoped to what the CFO asked for: the classification and presentation of income and expenses in the statement of profit or loss, how main business activities affect that classification, and management-defined performance measures. Detailed MPM disclosure requirements and the transition requirements are excluded, as instructed.

Structured for a review or critique task: Part A is the principle, Part B applies it to Axion, and Part C is how to attack whatever the reporting team's remapping looks like on the day.

Part A — The principles

A1. What IFRS 18 does, and what it does not do

- IFRS 18 replaces IAS 1. It is effective for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted. Axion is not adopting it yet, so this is an impact assessment, not a restatement.
- **It changes presentation and disclosure only.** It does not change recognition or measurement. Revenue, profit for the year, total assets and equity are unchanged. If an answer on the day asserts that profit changes, that is wrong.
- It carries forward much of IAS 1 unchanged, including the general prohibition on offsetting income and expenses unless another Standard requires or permits it.
- Three genuinely new things: **categories and required subtotals** in profit or loss, **management-defined performance measures**, and enhanced requirements for **aggregation and disaggregation**.
- It also amends IAS 7. Operating profit becomes the single starting point for the indirect method, and the presentation choices for interest and dividends paid and received are removed for most entities. Outside the CFO's scope, but worth one line if a task asks about the wider impact.

A2. The five categories

Every item of income and expense is classified into one of five categories.

Category	What goes in it
Operating	The residual. Everything not classified in investing, financing, income taxes or discontinued operations. It is not defined by what it contains, but by what is left.
Investing	Income and expenses from: (a) investments in associates, joint ventures and unconsolidated subsidiaries accounted for using the equity method; (b) cash and cash equivalents; and (c) other assets that generate a return individually and largely independently of the entity's other resources.
Financing	Two separate things. (a) All income and expenses from liabilities arising from transactions that involve only the raising of finance, for example borrowings and bonds. (b) Only the interest expense and the effect of changes in interest rates on other liabilities, for example lease liabilities and the unwinding of discount on provisions.
Income taxes	Income tax expense or income within the scope of IAS 12, and related foreign exchange differences.
Discontinued operations	Income and expenses of discontinued operations under IFRS 5.

Two things candidates get wrong. First, operating is a residual, so the question is never "is this operating?" but "is this investing, financing, tax or discontinued?" — if not, it is operating. Second, the financing category is asymmetric: for borrowings everything goes in financing, but for a lease liability or a provision only the interest element does, while the depreciation of the right-of-use asset stays in operating.

A3. The required subtotals

Subtotal	Required?	Comment
Operating profit or loss	Yes, for all entities	The residual category total. Its composition changes depending on main business activities.
Profit or loss before financing and income taxes	Yes, with one exception	Operating profit plus the investing category. The exception applies only to entities that provide financing to customers as a main business activity and elect to classify financing liabilities in operating; those entities may not present this subtotal.
Gross profit, profit before income taxes, and similar	No	Not required, but commonly presented and permitted where they give a useful structured summary.

The resulting structure, for an entity without a specified main business activity:

- Revenue and operating expenses → **Operating profit or loss**
- plus the investing category → **Profit before financing and income taxes**
- plus the financing category → Profit before income taxes
- less income taxes → Profit from continuing operations, then discontinued operations, then profit for the year

A4. How main business activities change the classification

This is the part the CFO specifically asked about. Classification is not uniform across entities. An entity must assess whether it has a **specified main business activity**. There are only two.

Specified main business activity	Consequence
Investing in assets as a main business activity	Income and expenses from those assets, which would otherwise be investing, are classified in operating instead. An investment property group presents rental income and fair value movements in operating.
Providing financing to customers as a main business activity	Income and expenses from providing financing to customers are classified in operating . In addition there is an accounting policy choice for income and expenses on liabilities that involve only the raising of finance and do not relate to financing customers: operating or financing. A bank presents interest income on loans to customers in operating.

- Whether an entity has a specified main business activity is a **judgement based on facts and circumstances**, not a free accounting policy choice. It is assessed at the reporting entity level and can change over time.
- An entity can have more than one main business activity, and a main business activity is not necessarily the largest by revenue.
- Holding a lot of assets is not the same as investing in assets as a main business activity. The test is whether the assets generate a return **individually and largely independently** of the entity's other resources. Assets used to deliver a service to customers do not.
- **The equity method is an exception that overrides all of this.** Income and expenses from associates, joint ventures and unconsolidated subsidiaries accounted for using the equity method are always in the investing category, even where they arise from a main business activity. Only investments measured at fair value can reach operating, and only where investing in assets is a main business activity.

A5. Management-defined performance measures

A subtotal is an MPM only if it meets **all three** criteria:

1. It is a **subtotal of income and expenses**. A measure that is not built from income and expenses is outside the definition entirely — a ratio, a per-unit measure, a volume, a balance sheet figure or a cash flow measure cannot be an MPM.
2. It is **used in public communications outside the financial statements** — management commentary, press releases, results presentations, investor communications.
3. It **communicates management's view of an aspect of the financial performance of the entity as a whole**, and is not a subtotal listed in paragraph 118 or otherwise required by an IFRS Accounting Standard.

Paragraph 118 lists subtotals that are **not** MPMs even if used publicly. They include gross profit or loss and similar subtotals, operating profit or loss before depreciation, amortisation and impairments within the scope of IAS 36, and profit or loss before income taxes. The required subtotals in A3 are likewise not MPMs.

If a measure is an MPM, it must be disclosed in a single note, with a reconciliation to the most directly comparable subtotal required by IFRS. The detail of that note is outside the scope the CFO set.

The three tests that actually decide most cases: is it a subtotal of income and expenses; is it used publicly; and is it about the entity as a whole rather than a segment, a division or a project.

A6. Aggregation, disaggregation and the presentation of operating expenses

- Items are aggregated and disaggregated based on **shared characteristics**. The primary statements give a useful structured summary; the notes give the detail.
- Operating expenses may be presented **by nature, by function**, or on a mixed basis — whichever gives the most useful structured summary. The choice is not free; it must be justified by usefulness.
- If operating expenses are presented **by function** in profit or loss, the notes must disclose the amounts of depreciation, amortisation, employee benefits, impairment losses and write-downs of inventory included in each function line.

- Where items that do not share similar characteristics are aggregated under a non-descriptive label such as "other", additional information about the composition must be given.
- Offsetting income against expenses is prohibited unless required or permitted by an IFRS Accounting Standard.
- Foreign exchange differences are classified in the **same category as the income and expenses of the item that gave rise to them**, unless that would involve undue cost or effort.

Part B — Applied to Axion

B1. Does Axion have a specified main business activity?

Test	Axion	Conclusion
Does Axion invest in assets as a main business activity?	Axion owns land, buildings, electrical infrastructure, backup generation, cooling and network infrastructure. These are substantial, but they are used to deliver space, power, cooling, security, resilience and interconnection to customers. They do not generate a return individually and largely independently of Axion's other resources.	No. Owning a large asset base is not the same as investing in assets as a main business activity.
Does Axion provide financing to customers as a main business activity?	Document 5 states expressly that Axion does not provide financing to its customers. Contracts are invoiced monthly over three to five years.	No. That single sentence closes the question. It also closes the significant financing component question under IFRS 15, so note it once and use it twice.
The undeveloped site	Land acquired for future expansion, still undeveloped while management considers its use.	Watch this on the day. If the facts change so that the site is held to earn rentals or for capital appreciation, it becomes investment property under IAS 40 and the analysis above may need revisiting. On the pre-release facts it does not.

Consequence: Axion applies the standard classification. Nothing moves into operating that would otherwise be investing or financing, and both required subtotals must be presented.

B2. Remapping the FY2026 results

Based on the three-year summary in Document 5. The reporting team's remapping should look broadly like this.

Line	FY2026 R'm	IFRS 18 category	Why
Revenue — data centre services and interconnection	2 620	Operating	Revenue from the main business activity. Residual category.
Operating costs, including electricity, staff, maintenance	(1 504)	Operating	Residual category. Electricity purchased for customers and for cooling is an operating cost.
EBITDA	1 116	Not a category	A subtotal, not a category. Permitted if it gives a useful structured summary. See B4.
Depreciation and amortisation	(415)	Operating	Depreciation of property, plant and equipment used in operations stays in operating.
Operating profit	700	Required subtotal	Total of the operating category.
Share of profit of Metroloop (40% joint venture, equity accounted)	Not separately disclosed	Investing	Equity-accounted results are always investing, however strategically integral the metro fibre network is to the interconnection business. This is the change most likely to surprise management.
Interest income on drawn but undeployed JHB4 funds on short-term deposit	Not separately disclosed	Investing	Income from cash and cash equivalents. It is not financing, and it may not be netted against interest expense.
Profit before financing and income taxes	—	Required subtotal	Mandatory for Axion. A new line that does not appear in the current summary.
Finance costs on interest-bearing borrowings, to the extent not capitalised	(375)	Financing	Liabilities arising from transactions that involve only the raising of finance. All income and expenses on them are financing.
Interest on lease liabilities, if any	Not disclosed	Financing	Only the interest element. Depreciation of the right-of-use asset stays in operating.
Profit before income taxes	325	—	Not a required subtotal, but permitted and expected.
Income tax expense	—	Income taxes	

An observation worth making on the day. In the three-year summary, operating profit of R700 million less finance costs of R375 million equals profit before tax of R325 million exactly. That means the summary contains no separate line for the equity-accounted share of Metroloop's result and none for interest income. Under IFRS 18 both belong in the investing category, above the profit before financing and income taxes subtotal. Either they are immaterial, or they are netted inside another line. Ask which, because it determines whether the new subtotal is meaningful for Axion or simply equal to operating profit.

B3. The JHB4 funding structure

Document 6 gives a R1.2 billion project facility, drawn by the delivery team against the construction programme, with undeployed funds on short-term deposit and deposit rates below the facility rate.

Item	Treatment	Category
Interest on the project facility that qualifies for capitalisation under IAS 23	Capitalised into the cost of JHB4. It never enters profit or loss.	Not in profit or loss at all. A common error is to classify capitalised borrowing costs in financing.
Interest on the project facility that does not qualify for capitalisation	Expensed. This arises where funds are drawn ahead of requirement, because IAS 23 permits capitalisation only of borrowing costs on expenditure actually incurred on the qualifying asset, and requires suspension while active development is interrupted.	Financing
Interest income on drawn but undeployed funds on short-term deposit	Where borrowings are specific to the asset, IAS 23 requires investment income on temporary investment of those borrowings to be deducted from the borrowing costs eligible for capitalisation. Beyond that, it is income.	Investing in profit or loss. Note the interaction: the same interest income may reduce the capitalised amount under IAS 23 before any residual reaches profit or loss.
The grid connection timing	Critical to the project. If active development is interrupted, IAS 23 requires capitalisation to be suspended, which pushes more interest into profit or loss.	Increases the financing charge.

B4. The internal measures tested against the MPM definition

This is what Document 6 is really there to test. Work the three criteria in order and stop at the first failure.

Measure	Subtotal of income and expenses?	Used in public communications?	Entity as a whole?	MPM?
Capacity delivered against programme (MW)	No — a volume	—	—	No. Fails the first test.
Capital cost per MW against budget	No — a ratio of capital cost to capacity	—	—	No. Fails the first test. Capital expenditure is not an expense.
Programme milestones achieved	No	—	—	No.
Health and safety incidents	No	—	—	No.
Net interest not capitalised	Yes — interest expense not capitalised, less interest income on undeployed funds	No. Document 6 states it is reported monthly to the Investment and Executive Committees and is not included in Axion external communications	No. It relates to the JHB4 project, not to Axion as a whole	No, and it fails on two independent grounds. Say both.
EBITDA	Yes — operating profit before depreciation and amortisation	Likely yes, given shareholder benchmarking and the funding review	Yes	Probably not an MPM, because paragraph 118 lists operating profit before depreciation, amortisation and IAS 36 impairments. See the warning below.
Revenue per MW; revenue per customer	No — ratios	—	—	No.
Contracted capacity	No	—	—	No.

The two judgements that decide the EBITDA answer

- **Exactly how is Axion's EBITDA defined?** Paragraph 118 excludes operating profit before depreciation, amortisation and impairments within the scope of IAS 36. Axion's EBITDA appears to be operating profit

before depreciation and amortisation only. If management also adds back other items — restructuring, fair value movements, once-off costs — the measure is no longer the listed subtotal, and it must then be tested against the three criteria and is likely to be an MPM. Ask for the definition and the reconciliation before concluding.

- **What counts as a public communication?** The strategic funding review and the draft information memorandum in Document 4 are the live issue. An information memorandum circulated confidentially to a syndicate of banks or a small group of prospective investors is generally not a public communication. The same measure repeated in a press release, a results presentation or public management commentary is. The conclusion can differ for the same measure depending on where it appears, so identify the document, not just the measure.

B5. Why "net interest not capitalised" cannot be presented in the statement of profit or loss

This is the strongest single technical point available from Document 6, and it holds even though the measure is not an MPM.

- The measure is defined as interest expense on drawdowns that is not capitalised, **less** interest income earned on drawn but undeployed funds.
- Under IFRS 18 the interest expense is in the **financing** category and the interest income on short-term deposits is in the **investing** category. They sit on opposite sides of the profit before financing and income taxes subtotal.
- Presenting them net would be **offsetting income against an expense**, which IFRS 18 prohibits unless another Standard requires or permits it. No Standard permits it here.
- So the measure can continue to exist as an internal accountability measure for the delivery team — and it is a sensible one, because it holds the team responsible for the cost of drawing ahead of need — but it **cannot appear as a subtotal in the statement of profit or loss**, and it does not become an MPM merely because it is a subtotal of income and expenses.
- If management's remapping shows a "net finance cost" line combining interest expense and interest income, that is the same error and should be challenged.

Part C — Critiquing the remapping on the day

The CFO has said the reporting team's remapping of the FY2026 results will follow. The likely task is to review it. Work in this order.

C1. The review sequence

4. **Check the premise first.** IFRS 18 is not yet effective and Axion is not adopting early. If the remapping is presented as a restatement rather than an impact assessment, say so. Nothing in profit or loss changes in amount.
5. **Check the two required subtotals are there.** Operating profit and profit before financing and income taxes. Axion has no specified main business activity, so no exemption applies.
6. **Work down the face, line by line, and assign each to a category.** Ask only "is this investing, financing, tax or discontinued?" If none, it is operating.
7. **Then hunt the three usual suspects:** the equity-accounted joint venture, interest income, and anything presented net.
8. **Then test every measure that is called an MPM** against the three criteria, and every measure that is not called an MPM but might be.
9. **Then look at aggregation and labelling** — "other" lines, the by-nature or by-function choice, and whether the disaggregation in the notes supports the face.
10. **Say what is right as well as what is wrong**, and conclude with what must change and what management should do next.

C2. The errors most likely to be planted, and how to answer each

Likely error	Why it is wrong	What to say
Share of profit of Metroloop presented inside operating profit, on the basis that the metro fibre network is integral to interconnection	Equity-accounted results are always classified in the investing category. IFRS 18 does not permit an integral or strategic argument to move them into operating.	Reclassify below operating profit, into investing. Operating profit falls by the share of profit; profit before financing and income taxes is unaffected.
Interest income on undeployed JHB4 funds presented in financing, or	Income from cash and cash equivalents is investing. Netting is prohibited offsetting.	Present gross, interest income in investing above the subtotal and interest expense in financing below it.

netted against finance costs		
"Net interest not capitalised" presented as a line or subtotal in profit or loss	It combines a financing expense with investing income across the required subtotal, and is offsetting.	Keep it as an internal measure. It cannot be presented in profit or loss. See B5.
Capitalised borrowing costs on JHB4 shown in the financing category	Capitalised borrowing costs are added to the cost of the asset and never enter profit or loss.	Remove from profit or loss entirely. Only the uncapitalised portion is a financing expense.
"Capital cost per MW" or "revenue per MW" disclosed as MPMs	Neither is a subtotal of income and expenses. A ratio and a per-unit measure fall outside the definition.	Not MPMs. No MPM note is required for them. They may still be given in management commentary.
"Net interest not capitalised" disclosed as an MPM	It is not used in public communications, and it is project-specific rather than a view of the entity as a whole.	Not an MPM, on two independent grounds. Give both.
EBITDA disclosed as an MPM without checking the definition, or excluded without checking it	Operating profit before depreciation, amortisation and IAS 36 impairments is listed in paragraph 118 and is not an MPM. A differently defined EBITDA is not that listed subtotal.	Ask for the definition. If it adds back anything beyond depreciation, amortisation and IAS 36 impairments, it is outside paragraph 118 and is likely an MPM.
Axion treated as having a specified main business activity because of its large asset base	The assets are used to deliver services to customers. They do not generate a return individually and largely independently of Axion's other resources.	No specified main business activity. Standard classification applies.
The profit before financing and income taxes subtotal omitted	Mandatory for Axion. The exemption applies only to entities providing financing to customers that elect operating classification.	Add the subtotal.
The remapping claims the change improves or worsens performance	IFRS 18 changes presentation only. Profit for the year is identical.	What changes is where a reader sees the result and what "operating profit" means, not how much profit there is.
Operating expenses presented by function with no supporting note disclosure	A by-function presentation requires the notes to disclose depreciation, amortisation, employee benefits, impairments and inventory write-downs.	Either add the note disclosure or justify a by-nature presentation, which is more common for this business and is what the current EBITDA-led summary suggests.
Unexplained "other" lines carried across from the existing summary	Aggregating items without shared characteristics under a non-descriptive label requires additional information about the composition.	Disaggregate, or explain the composition.

C3. What Axion should actually do — the recommendation

- **Confirm the classification decisions that drive the answer** before remapping anything: that there is no specified main business activity, that Metroloop is investing, and that interest income and interest expense are presented gross in different categories.
- **Quantify the effect on operating profit**, because that is the number Ubuntu and Horizon will benchmark. Moving the Metroloop share out of operating changes the comparison against listed infrastructure businesses, and those businesses will have made the same move, so the benchmarking must be done on a consistent basis.
- **Define EBITDA precisely and in writing**, and test it against paragraph 118. The answer determines whether an MPM note is needed.
- **Decide, before the information memorandum is finalised, which measures will appear in which documents.** Whether a measure is an MPM can depend on where it is used. It is easier to make that decision now than to retrofit a reconciliation later.
- **Keep "net interest not capitalised" as an internal measure.** It is a well-designed accountability measure for a real problem — deposit rates are below the facility rate, so drawing early costs money. IFRS 18 does not require it to be abandoned; it requires it to stay out of the statement of profit or loss.
- **Treat this as an impact assessment**, run in parallel with the existing IAS 1 presentation, reported to the Audit and Risk Committee, with the external auditors consulted on the judgemental classifications before the funding review concludes.

C4. Things that are not IFRS 18 issues — do not spend time on them

- Recognition and measurement of anything. IFRS 18 does not touch them.
- Whether borrowing costs qualify for capitalisation. That is IAS 23, and it determines how much reaches profit or loss, but the IFRS 18 question only begins once an amount is in profit or loss.
- Whether Metroloop is a joint venture or a joint operation. That is IFRS 11. IFRS 18 only asks where the equity-accounted result is presented.
- The statement of financial position categories. IFRS 18's categories apply to the statement of profit or loss, not to assets and liabilities.

- Segment reporting. IFRS 8 is unaffected, although an MPM may coincide with a segment measure.
- Transition and comparatives, which the CFO has expressly scoped out.